

INDIAN ECONOMY

**LEVEL
II**



LECTURES

- EQUALISATION LEVY
- LIBOR/SOFR
- IFSC
- DISINVESTMENT

MODULE - 23



UNDERSTANDING THE IFSC ... GIFT CITY, GUJARAT



- International Financial Services Centres (IFSC) enable bringing back the financial services and transactions that are currently carried out in offshore financial centres by Indian corporate entities and overseas branches/ subsidiaries of financial institutions to India.
- IFSC is expected to offer business and regulatory environment that is comparable to other leading international financial centres in the World, like London and Singapore.
- These are intended to provide Indian corporates with easier access to global financial markets and to complement and promote further development of financial markets in India.

INTERNATIONAL FINANCIAL SERVICES CENTRES AUTHORITY

- IFSC Authority consists of 9 members, appointed by the Central Government.
- They include, apart from the Chairperson, a member each from RBI, SEBI, IRDAI, PFRDA and two members from the Ministry of Finance.
- All members will have a term of 3 years, subject to re-appointment.



WHAT IS THE ROLE OF THE AUTHORITY?

- The authority will regulate financial products such as securities, deposits or contracts of insurance, financial services that have been previously approved by any appropriate regulator such as RBI / SEBI.
- It will follow all processes, which are applicable to such financial products, financial services and financial institutions under their respective laws.



WHAT IS FUGITIVE ECONOMIC OFFENDERS ACT?



The Act is to stop economic offenders leaving the country to avoid due process.

- The economic offences are those defined under the following statutes
 - ✓ The Indian Penal Code
 - ✓ The Prevention of Corruption Act
 - ✓ The SEBI Act
 - ✓ The Customs Act
 - ✓ The Companies Act
 - ✓ Limited Liability Partnership Act and
 - ✓ Insolvency and Bankruptcy Code

- 1 A person can be declared a Fugitive Economic Offender (FEO), if a warrant has been issued against him for an offence involving Rs. 100 Cr or more, and he has left the country and refuses to return.
- 2 After declaring him an FEO, the court will begin the proceedings for confiscation of the properties.
- 3 The court will appoint an administrator to oversee the confiscated property.
- 4 Administrator will be responsible for disposing of the property as well and the property will be used to satisfy creditors claim.

PUBLIC SECTOR ENTERPRISES ... MULTITUDE OF PROBLEMS!



PUBLIC SECTOR ENTERPRISES ... MULTITUDE OF PROBLEMS!

11 Even if the PSEs report net losses, as long as their net-worth is **positive**, they have to pay **dividends** to the Government. Hence they became **cash cows** for the Government.

10 Centre's decisions like - PSEs pay dividend amounting to **30%** of net profit or **5%** of net-worth, whichever is higher - went against the autonomy of the PSEs and they are not able to take **wise business decisions**.

POOR
GOVERNANCE
& LETHARGY!



DISINVESTMENT POLICY IDENTIFIED FOUR STRATEGIC SECTORS

1 ATOMIC ENERGY, SPACE AND DEFENCE



2 TRANSPORT AND TELECOMMUNICATIONS



3 POWER, PETROLEUM, COAL AND OTHER MINERALS



4 BANKING, INSURANCE AND FINANCIAL SERVICES



BANKING



INSURANCE

भारतीय जीवन बीमा निगम
LIFE INSURANCE CORPORATION OF INDIA



FINANCIAL SERVICES

STRATEGIC

There will be bare minimum PSUs.
Remaining will be privatized or merged or
subsidiarized with other CPSEs or closed.

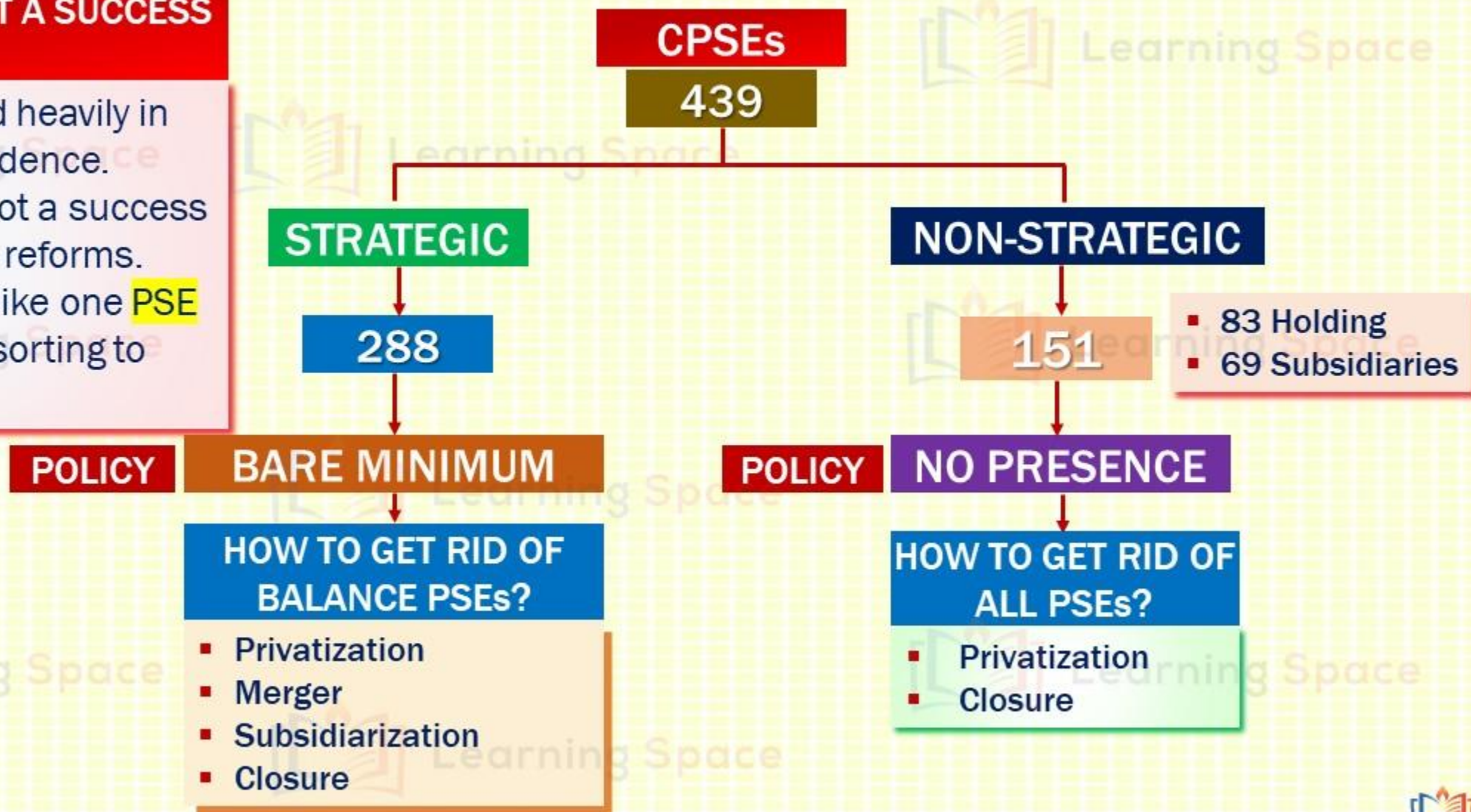
NON-STRATEGIC

CPSEs will be privatized, otherwise they
will be closed.

DETAILS ABOUT CPSEs IN INDIA – 2020-21

DISINVESTMENT ... NOT A SUCCESS STORY!

- Government invested heavily in CPSEs after independence.
- Disinvestment was not a success story after economic reforms.
- It is relying on steps like one PSE buying another or resorting to share buybacks.



EQUALISATION LEVY

WE HAVE TO GO BACK TO 2013!

- To understand the logic of Digital Services Tax (Equalization Levy), one has to go back to 2013.
- At that point of time, Base Erosion and Profit Shifting (BEPS) programme was launched by OECD at the behest of the G20 countries.
- Under the 15 action points, action point one was to look at the tax challenges of the digital economy.



WHAT WAS THE MAIN CHALLENGE?

- The main problem was to find the new way of taxing digital companies, because under the existing rules, they were not adequately taxed.
- They don't have permanent establishment in the countries which they operate.
- For example, Indian Income Tax Act does not allow taxation, when there is no permanent establishment.
- At the same time, it becomes difficult to assess the intangibles, like the value of data.

WHAT WAS THE ACTION OF INDIA IN 2016?

- India started with equalization levy on advertisement services at 6%.
- It was basically on payments made to a non-resident by a resident advertising on the platform (B2B).
- However, the revenue generated was not much.



ANOTHER EXPERIMENT OF SIGNIFICANT ECONOMIC PRESENCE BY INDIA!

- India in 2018 introduced a test for significant economic presence in the Income Tax Act.
- If a company had significant users in India, it can define “significant economic transaction”. Hence, it gives India the right to tax.
- While this was introduced in the act, it did not have any value because the treaties have to incorporate a similar provision to make it applicable. Hence, it could not be implemented.

EQUALISATION LEVY WITH CRYSTAL CLEAR CLARITY

SEE THE DIFFERENCE!

NON-RESIDENT COMPANIES

Flipkart  amazon

NETFLIX

- They have no permanent establishment in India.
- Hence they do not come under Income Tax Act.
- Now equalization levy is imposed through Finance Act.
- As it is not under Income Tax Act, DTAA benefits not applicable.

REMEMBER ...

- EL not applicable, when the turnover is less than a particular amount.
- Effective from 1st April, 2020

***Equalization Levy is based
on Akhilesh Ranjan
Committee Report of 2016.***

RESIDENT COMPANY

 **JioMart**

- It has permanent establishment in India.
- It comes under the Income Tax Act.
- Hence equalization levy is not applicable.

G7 AGREES ON UNIFORM MINIMUM CORPORATE TAX



facebook®

Google

- The Group of 7 said that it would back a minimum global corporation tax rate of at least 15%.
- It will put in place measures to ensure that taxes are paid in the countries, where businesses operate.
- It is aimed at ending a decades-long “race to the bottom” in which countries have competed to attract corporate giants, with ultra-low tax rates and exemptions.
- Firms will pay tax at source country and market country.
- Once this is implemented, there may not be any need of Digital Services Tax / Equalisation Levy.

WHAT IS LIBOR?

- LIBOR is London Inter-Bank Offered Rate.
- It is the average interest rate, at which major global banks borrow from one another.
- During the past 3-4 decades, it is the benchmark interest rate for several currencies.

WHAT HAPPENED TO LIBOR?

Few years ago, it was revealed that more than a dozen financial institutions fudged their data, in order to gain profits from LIBOR based derivative products.



A BRIEF ON SOFR!

- For Dollar loans, LIBOR is being gradually replaced by Secured Overnight Financing Rate (SOFR).
- SOFR is based on transactions in the Treasury repurchase market.
- It is based on the regular transactions in the Treasury.
- Federal Reserve of New York began publishing the SOFR since April, 2018.



WHAT IS PURCHASING MANAGERS' INDEX?



A figure above 50 denotes an 'expansion', while anything below 50 denotes a 'contraction' in activity.

- PMI is an economic indicator that is calculated from monthly surveys of purchasing managers and supply executives from specific companies.
- It gives an indication of the economic health of the manufacturing sector.
- It is also tracked for the services.
- The most followed PMI readings come from Markit and Institute of Supply Management.
- To arrive at PMI, factual information is asked through the questionnaire, which involves new orders, output, employment, supplier deliveries, inventories etc.

WHOLESALE PRICE INDEX

- Here, the weightage assigned to manufactured products is 64%.
- Overall weightage for food related components is around 24%.
- There is no services element.

CONSUMER PRICE INDEX

- It includes services also.
- Weightages are given here under:

✓ Food items	...	46%
✓ Housing	...	10.1%
✓ Fuel and Lighting	...	6.8%
✓ Transport & Communications	...	8.6%
✓ Health	...	5.9%
✓ Education	...	4.5%

WHAT IS CORE INFLATION?

- The difference between headline inflation and core inflation is – if we takeout the impact of 'fuel' and 'food' from the headline inflation, we arrive at the core inflation.
- Though the inflation band specified as 4% +/- 2% CPI Inflation (Headline Inflation), but the policy decisions by the MPC are primarily influenced by the Core Inflation.



CLARITY ABOUT THE WEIGHTAGES BETWEEN CPI AND WPI!

- In CPI, food and beverages have the highest weight (45.9) whereas in WPI, the manufacturer group has the highest weight (64.2).
- The weight of fuel group is much smaller in CPI (6.8) when compared to 13.2 in WPI. Fuel in CPI is also partially reflected under miscellaneous group under “transport and communication”.
- The miscellaneous group in CPI, which makes up about 4th of the index (28.3) includes services like education, health, recreation, and goods such as gold jewelry. Services are not included in WPI.
- As against a weight of 45.9 in CPI, food articles have a weight of only 24.4 in WPI (food related articles in primary group + those in manufactured group).

- The high weight of food in the CPI makes the CPI more responsive to changes in food prices over WPI.
- Manufactured sector not only uses crude oil, but also several other imported items as inputs such as iron ore, aluminum, other metals and cotton. The intermediate and input items of WPI, not part of CPI, play a role in its divergence from CPI.





DIVERGENCE BETWEEN CPI AND WPI HAPPENS QUITE OFTEN!

- CPI reflects the buying behavior of consumers derived based on the household consumption patterns using NSS Household Consumer Expenditure Survey and reflects price movements at the retail level.
- On the other hand, WPI based inflation rate is based on the share of the respective items in total wholesale transactions in the economy at the first point of sale.
- Hence, while the weights of items in CPI-C are based on consumption pattern of consumers and households, In the case of WPI series, weights of the item basket are derived by calculating the net traded value to the domestic production by adding net imports to domestic production.

VARIOUS ASPECTS EMANATED FROM ECONOMIC SURVEY ON INFLATION AND SUBSIDIES



KNOW BASICS ABOUT VARIOUS INDICES!

1 Office of the **Economic Advisor**, Department for Promotion of Industry and Internal Trade (DPIIT) releases **Wholesale Price Index**.

2 **National Statistical Office** releases **Consumer Price Index - Combined** and **Labour Bureau** releases **CPI IW**, **CPI AL** and **CPI RL**.

3 **Core inflation** is the inflation excluding food and beverages and fuel and light - the transitory components of the index.



4 '**Fuel and light**' which we take as a component to arrive at core inflation does not include petrol for vehicles and diesel for vehicles.

5 Prices of **LPG** in the country are based on **Saudi Contract Price (CP)**.

6 **LPG subsidies** are governed under **Direct Benefit Transfer for LPG consumers (DBTL)** scheme.

VARIOUS ASPECTS EMANATED FROM ECONOMIC SURVEY ON INFLATION AND SUBSIDIES



10 The **balance** States/UTs are allocated **PDS kerosene** and is distributed through **PDS** and is sold at market price with **zero central subsidy**.

9 Out of the **37** states/UTs, **11** States/UTs are **kerosene free** and hence **PDS kerosene** is not allocated to these **States/UTs**.

KNOW BASICS ABOUT VARIOUS INDICES!

7 Since **May 2020**, there is no subsidy to the consumers on **domestic LPG** (at Delhi market). However, in far flung areas and some other markets there is some subsidy that **varies** from market to market mainly due to **higher inland freight** from **port** to **bottling plant**.

8 Government has decided to phase out use of **kerosene** for **cooking** and **lighting** in view of the increased coverage of electricity for lighting needs and **LPG** as a **clean cooking fuel**.



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